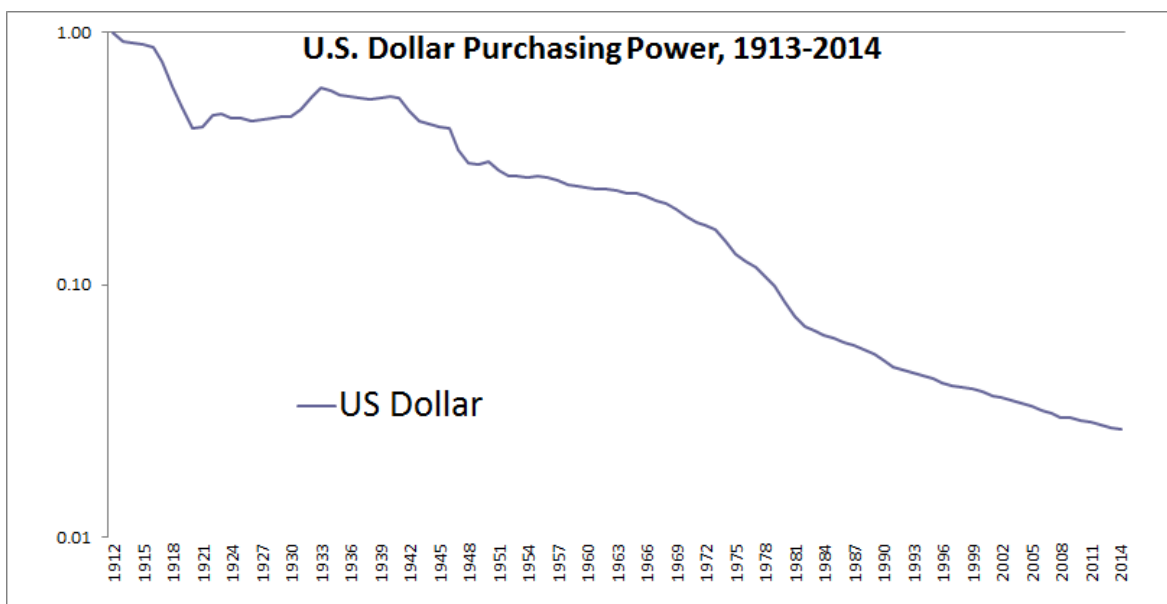


One of the most famous charts in all of investing literature is the one below that illustrates the U.S. dollar's purchasing power since the creation of The Federal Reserve in 1913. The description usually goes [along the lines of this ZeroHedge post](#):

“This is the chart they don’t want you to see: the purchasing power of the dollar over the past 76 years has **declined by 94%**. And based on current monetary and fiscal policy, we have at least another 94% to go. The only question is whether this will be achieved in 76 months this time.”

The above statement is factually true – \$1.00 in 1913 is only worth about three cents in current dollars due to the effects of inflation (which have averaged about 3.2% a year). But that is all the chart tells you – the U.S. has had mild inflation this century (with fits of disinflation, deflation, and high inflation mixed in):

FIGURE 2 – U.S. Dollar Purchasing Power, 1913-2014



Source: Global Financial Data, Shiller

The chart is then used to justify any number of arguments and conclusions, usually laden with exclamation points!!!, **bold text**, and CAPITALIZATIONS. Cries to end the Fed, buy gold, sell stocks, and build forts stocked with guns, food, and ammunition usually follow in a stream of rants and raves. These articles are written like this for a reason. They elicit an emotional response (who doesn't enjoy